

ii. Attorney's Fees Under California Code of Civil Procedure § 1021.5

Absent an express or implied agreement between the parties or a statute that specifically provides for them, parties are responsible for their own attorney's fees. (Code Civ. Proc., § 1021.) A court may award attorney's fee to a successful party upon motion "in any action which has resulted in the enforcement of an important right affecting the public interest" if:

- (a) a significant benefit, whether pecuniary or nonpecuniary, has been conferred on the general public or a large class of persons,
- (b) the necessity and financial burden of private enforcement, or of enforcement by one public entity against another public entity, are such as to make the award appropriate, and
- (c) such fees should not in the interest of justice be paid out of the recovery, if any.

(Code Civ. Proc., § 1021.5.)

"There is no requirement that a party plead that it is seeking attorney fees, and there is no requirement that the ground for a fee award be specified in the pleadings." (*Yassin v. Solis* (2010) 184 Cal.App.4th 524, 533; see also: *Snatchko v. Westfield LLC*, (2010) 187 Cal. App.4th 469, 497.)

Because there is no requirement that the basis for a fee award be specified in the pleadings, the propriety of any such award under section 1021.5 is a matter to be determined by the Court on motion after judgment, not at the pleading stage. (*Snatchko, supra*, 187 Cal. App.4th at 497.) Accordingly, to the extent that Plaintiff seeks attorney's fees under section 1021.5, the motion to strike is denied.

IV. Conclusion

For the foregoing reasons, Defendants' motion to strike is **DENIED IN PART and GRANTED IN PART**. The motion to strike is denied as moot as to the requests for restitution of premiums, injunctive relief, and declaratory relief; denied as to the request for attorney's fees under California Code of Civil Procedure section 1021.5; and granted as to the request for attorney's fees under the UCL.

14. 9:00 AM CASE NUMBER: C25-01838
CASE NAME: HARLEY CONSTANTIN VS. FOTUALLI FANO
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: CRIST, FRITSCHI & PATERSON,
TENTATIVE RULING:

Before the Court is Defendants Crist, Fritsch, & Paterson, Inc.'s ("CF&P") and Fotualli Fano's ("Ms. Fano") demurrer. The demurrer relates to the Complaint for (1) Negligence (as to procurement of Liberty Mutual policy), (2) Negligence (as to procurement of Gemini policy), (3) Negligent Misrepresentation, (4) Unfair Business Practices, and (5) Declaratory Relief filed by Harley Constantin

d/b/a Victor Electric (“Plaintiff,” “Victor Electric,” or “Mr. Constantin”).

Pursuant to California Code of Civil Procedure section 430.10, Defendants demur to Plaintiff’s second cause of action for negligence on the grounds that Plaintiff cannot plead essential elements of negligence; to Plaintiff’s fourth cause of action on the grounds that Plaintiff fails to identify any conduct on the part of Defendants that constitutes an unlawful, unfair or fraudulent business practice; and to Plaintiff’s prayer for declaratory relief on the grounds that Plaintiff provides no proof that Defendants were parties to any agreement.

Plaintiff opposes Defendant’s demurrer to the second cause of action for negligence on the grounds that the complaint adequately pleads duty, breach, and resulting damages; to the fourth cause of action under California Business and Professions Code section 17200 on the grounds that the complaint sufficiently identifies conduct that constitutes an unlawful, unfair and/or fraudulent business practice; and to the claim for declaratory relief on the grounds that the pleadings establish the existence of an actual controversy between the parties.

For the following reasons, Defendant’s demurrer to Plaintiff’s complaint is **overruled as to the second cause of action and sustained with leave to amend as to the fourth and fifth causes of action.**

I. Facts and Procedural Background

This suit arises out of a dispute between an independent contractor and his insurance broker.

Harley Constantin (“Mr. Constantin”), who does business as Victor Electric, is a licensed electrical contractor who installs and repairs electrical systems in completed and new residential construction projects. (Complaint (“Compl.”) at 7:12-13.) Crist, Fritsch, & Paterson, Inc. (“CF&P”) and its agents served as brokers for Victor Electric’s commercial general liability (“CGL”) insurance for over 25 years. (*Id.* at 7:14-17, fn. 1.) Fotualli Fano (“Ms. Fano”) is an agent of CF&P and was Victor Electric’s broker during periods relevant to the instant suit. (*Ibid.*)

Plaintiff alleges that CF&P “holds itself out to the public, including through its publicly accessible website (www.cfpinsurance.com) as having specialized expertise in obtaining insurance coverage for licensed contractors...” (Compl. at 5:5-8.) He notes that CF&P on its website includes contractor-specific content related to insurance requirements “including but not limited to, statements of expertise, advice, and warnings...” (*Id.* at 5:9-11.)

A general contractor, K.B. Stone Diamond Corporation, doing business as Diamond Construction (“Stone/Diamond”) hired Victor Electric in 2021 to install an electrical system in a new residential construction. (Compl. at 7:19-8:2.) The owners of the property, Robert and Joanne Bradford, subsequently filed suit in Contra Costa County Superior Court in 2023 against Stone/Diamond and others involved in the construction on their property. (*Id.* at 8:3-8.) Plaintiff was served with a cross-complaint in the suit by Stone/Diamond on April 23, 2024. (*Id.* at 8:9-13.)

Plaintiff tendered the defense of the Stone/Diamond cross complaint to Ms. Fano and CF&P, who notified Plaintiff’s CGL policy insurer, Liberty Mutual, of the suit. (Compl. at 8:14-17.) On June 5, 2024,

Liberty Mutual denied defense of the suit on the grounds that Plaintiff's policy excluded defense for any work on new residential construction. (*Id.* at 8:17-18; 9:1.; Ex. 3)

Plaintiff alleges he was unaware of the new residential construction exclusion in his GCL policy. (Compl. at 10:12-13.) Until Plaintiff was served with the Stone/Diamond cross-complaint, he alleges that he had never before been sued for his work as a licensed electrical contractor. (*Id.* at 9:20-22.)

Plaintiff alleges that CF&P and Ms. Fano knew or should have known that Plaintiff worked on new residential construction and failed to warn him that his policy had an exclusion for new residential construction. (Compl. at 9:23-24.) He alleges that given their knowledge of his work and their expertise, Defendants had a duty to advise him about important exclusions and risks in his policy, yet, year after year, they renewed his policy and failed to advise him of the gap in his coverage. (*Id.* at 10:3-9, 11-13; 11:6-7.)

Plaintiff regularly contacted CF&P requesting that they provide "Additional Insured" declarations for his work on new residential construction, as is often required by general contractors to assure them the subcontractor is adequately insured; CF&P routinely issued these declarations. (Compl. at 10:14-20; 11:1-5; e.g. Ex. 4.)

When Mr. Constantin learned of the new residential construction exclusion in his CGL insurance policy with Liberty Mutual, he immediately requested that Ms. Fano and CF&P acquire him a CGL insurance policy that covered him for his work on new residential construction as well as his prior work on new residential construction (with the exception of the Bradford project). (Compl. at 14:18-21.)

Ms. Fano verbally advised Mr. Constantin that a Gemini policy would include the provisions he required, and, based on these representations, Mr. Constantin agreed to purchase the Gemini policy. (Compl. at 15:3-10, 20.)

Plaintiff now alleges that the Gemini policy also excluded coverage for work on certain new residential custom homes. (Compl. at 15:13-14.) The Gemini policy, attached as Exhibit 5 to Plaintiff's complaint, indicates that the policy does not cover new residential construction, and goes on to indicate that custom homes are the exception to the Gemini policy's exclusion on new residential homes. (Compl. Ex. 5.) The policy defines "custom homes" as "'Single-family Home(s)' ... not part of any planned development of 'Single-family Home(s)' or 'Townhome(s)' or any combination of 'Single-family Home(s)' or 'Townhome(s)'." (*Ibid.*)

Plaintiff alleges that he worked on two new custom homes in planned developments while he was covered under the Gemini policy. (Compl. at 16:1-2.) Plaintiff alleges that he is now possibly left exposed to risk because if he is sued for damages or indemnity, Gemini may deny coverage. (*Id.* at 16:3-6.)

As a result of Defendants' conduct, Plaintiff alleges he was injured by the loss of money or property that he paid out in premiums over 25 years for inadequate insurance coverage, as well as costs and

attorney's fees incurred in defending a third-party lawsuit that the insurer refused to defend, potential judgment or settlements amounts, and potential liability exposure for uncovered claims. (Compl. at 20:3-8.) Plaintiff seeks restitution of all money wrongfully obtained by Defendants, disgorgement of all ill-gotten gains, an injunction prohibiting Defendant from engaging in similar conduct with other clients, and attorney's fees for the instant suit as well as for defending against the Bradford action. (*Id.* at 20:12-16.) He also seeks declaratory relief on the basis that an actual controversy now exists between Plaintiff and Defendants as to whether Defendants should be responsible for defending and indemnifying Plaintiff in the Bradford action and/or any other suits that may emerge from Plaintiff's work both before the Gemini policy was in place through the date of its cancellation. (*Id.* at 21:20-24; 22:1-2.)

Plaintiff filed the instant suit on June 26, 2025.

It is the responsibility of the demurring party to meet and confer with the opposing party at least five days prior to the date the responsive pleading is due. (Code of Civ. Proc., § 430.41(a)(2).) After several telephonic meetings to confer over the issues raised in this demurrer, Defendants filed the instant motion on October 20, 2025. Defendant's efforts to meet and confer were adequate under the statute.

II. Legal Standard

"A demurrer tests the sufficiency of the complaint by raising questions of law." (*Schmidt v. Foundation Health* (1995) 35 Cal.App.4th 1702, 1706.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations. (*Los Altos Golf & Country Club v. County of Santa Clara* (2008) 165 Cal.App.4th 198, 203.)

The complaint must be "liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc. § 452.) "[I]f it appears that the plaintiff is entitled to any relief against the defendant, the complaint will be held good, even though the facts may not be clearly stated." (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 896.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905.) Whether a plaintiff can actually prove their allegations is of no concern to the court on demurrer. (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

It is an abuse of discretion to deny leave to amend on demurrer if there is a reasonable possibility that the defect can be cured by amendment. (*Blank, supra*, 39 Cal.3d at 318; *Salazar v. Target Corp.* (2022) 83 Cal.App.5th 571, 576-577.) "Where the complaint is defective, '[in] the furtherance of justice great liberality should be exercised in permitting a plaintiff to amend his complaint...'" (*Scott v. Indian Wells* (1972) 6 Cal.3d 541, 549 (citations omitted).)

III. Analysis

A. Second Cause of Action: Negligence as to Gemini Procurement

Plaintiff alleges Defendants were negligent when they procured for him the Gemini CGL policy because it allegedly includes exclusions that expose him to liability for future claims against him for the work he performed during the life of the policy from June 7, 2024, to June 6, 2025. (Compl. at 16:1-18.)

Plaintiff must make a showing of four elements to support a claim for negligence: (1) Defendants had a legal duty of care to Plaintiff; (2) Defendants breached that duty; (3) Plaintiff suffered an injury because of Defendants' breached duty; and (4) damages. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 141.)

i. Duty and Breach

A complaint that lacks facts to show a duty of care was owed is fatally defective; whether duty exists is a question of law for the court. (*Peter W. v. San Francisco Unified Sch. Dist.* (1976) 60 Cal.App.3d 814, 822.)

An insurance agent ordinarily assumes only those duties normally found in an agency relationship – the obligation to use reasonable care, diligence, and judgment in procuring the insurance requested by an insured. (*Jones v. Grewe* (1987) 189 Cal.App.3d 950, 954.) “The mere allegation in a complaint...that an insured has purchased insurance from an insurance agent for several years and followed his advice on certain insurance matters is insufficient to imply the existence of a greater duty.” (*Id.* at 956.) This rule changes, however, when (1) the agent misrepresents the nature, extent or scope of the coverage being offered or provided, (2) there is a request or inquiry by the insured for a particular type or extent of coverage, or (3) the agent assumes an additional duty by either express agreement or by “holding himself out” as having expertise in a given field of insurance being sought by the insured. (*Fitzpatrick v. Hayes* (1997) 57 Cal.App.4th 916, 927.)

Here, Mr. Constantin alleged that he asked for a particular type and extent of coverage. After Liberty Mutual's denial of defense in the Bradford action pursuant to the residential construction exclusion, Mr. Constantin alleged that he specifically asked Ms. Fano and CF&P to procure him a new GCL insurance policy that covered him for both his current and future work on new residential construction and his past work on new residential construction (with the exception of the Bradford project). (Compl. at 14:18-21.) Mr. Constantin alleges that Ms. Fano verbally advised him that a Gemini policy would include the provisions he required. (*Id.* at 15:3-6.) Based on Ms. Fano's representations, Mr. Constantin agreed to purchase the Gemini policy. (*Id.* at 15:20.)

The Gemini policy, while allegedly covering new custom homes, allegedly does not cover custom homes that are part of any planned development. (Compl. Ex. 5.) These allegations are sufficient at the pleading stage to support a claim that Defendants had a duty and breached it. As such, the Court turns to whether Plaintiff has adequately alleged damages arising from the Gemini policy.

ii. Injury and Damages

A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations. (*Los Altos Golf & Country Club, supra*, 165 Cal.App.4th at 203.) “[P]laintiff need only plead facts showing that he may be entitled to some relief.” (*Alcorn, supra*, 2 Cal.3d at 496.)

Here, Plaintiff alleges that, while insured under the Gemini policy, he worked on two new custom homes in planned developments. (Compl. at 16:1-2.) Plaintiff alleges that he is “now possibly left exposed to risk because if he is sued for damages or indemnity, Gemini may deny coverage.” (*Id.* at 16:1-6.)

Arguably, these allegations describe future exposure, rather than present, realized injury in that Plaintiff’s complaint does not allege Gemini has denied coverage or that Plaintiff has incurred defense costs or other out-of-pocket losses attributable to the Gemini policy. However, because on demurrer the only issue involved is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action, the Court does not concern itself at this time with whether Plaintiff will ultimately be able to prove these allegations. (*SKF Farms, supra*, 153 Cal.App.3d at 905; *Alcorn, supra*, 2 Cal.3d at 496.) Accordingly, Plaintiff has adequately pled injury and damages, and his allegations are sufficient to support a claim for negligence at this stage.

As such, the demurrer to the second cause of action for negligence as related to the Gemini policy is overruled.

B. Fourth Cause of Action: Business and Professions Code § 17200 – Unfair Business Practices

The Unfair Competition Law (“UCL”) (California Business and Professions Code section 17200) prohibits and provides civil remedies for “any unlawful, unfair or fraudulent business act or practice...” (Bus. & Prof. Code, § 17200.)

Plaintiff’s UCL claim appears to be predicated on (1) Defendants’ alleged failure to procure adequate insurance coverage; and (2) statements on Defendants’ website holding themselves out as having specialized expertise in contractor insurance.

The Court will bifurcate its analysis as to the Plaintiff’s UCL claim to the extent it is based on the two separate policies from Gemini and Liberty Mutual.

i. Gemini Policy

Prevailing plaintiffs in a UCL action are limited to injunctive relief and restitution; they may not receive damages or attorney fees because restitution is the only monetary remedy expressly authorized for violation of the UCL. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 179; *Kraus v. Trinity Management Services, Inc.* (2000) 23 Cal.4th 116, 128; Bus. & Prof. Code, § 17203.) Restitution requires that a UCL defendant return money obtained

through an unfair business practice to the party from whom the property was taken. (*Kraus, supra*, 23 Cal.4th at 126-127.) Restitution requires both that money or property has been lost by the plaintiff and that it has been acquired by the defendant. (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 336.)

To establish private standing in UCL cases a party must “(1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., *economic injury*, and (2) show that that economic injury was the result of, i.e., *caused by*, the unfair business practice or false advertising that is the gravamen of the claim.” (*Id.* at 322; Bus. & Prof. Code, § 17204.)

Here, as relates to the Gemini policy, Plaintiff alleges he suffered injury through the loss of money or property by way of premiums paid for inadequate insurance coverage, potential judgment(s) or settlement amounts; potential liability exposure for uncovered claims, and other damages and costs.” (Compl. at 20: 3-11.)

To the extent that Plaintiff seeks restitution of “[p]remiums paid for inadequate insurance coverage,” the complaint does not allege that Defendants, who are insurance brokers, not carriers, wrongfully obtained money belonging to Plaintiff in that it fails to allege facts showing that Defendants acquired and retained the insurance premiums. (Compl. at 20:4-5, 12-13.) Absent allegations that Defendants acquired money through an unlawful practice and retain funds properly belonging to Plaintiff, restitution is unavailable. (*Kraus, supra*, 23 Cal.4th at 126-127.)

The rest of Plaintiff’s alleged injuries related to the Gemini policy – potential judgment(s) or settlement amounts, and potential liability exposure for un-covered claims – are likewise out of reach of the UCL as they are neither injunctive nor restitutionary relief. (*Cel-Tech Communications, Inc., supra*, 20 Cal.4th at 179.) Accordingly, Plaintiff has not adequately alleged standing to pursue a UCL claim against Defendants based on the Gemini policy.

ii. Liberty Mutual Policy

a. Fraudulent Conduct

To state a claim under the UCL based on false advertising or promotional practices, a plaintiff must show that members of the public are likely to be deceived. (*Kasky v. Nike, Inc.* (2002) 27 Cal.4th 939, 951.) Where a UCL claim is based on alleged misrepresentations, a private plaintiff must also plead and ultimately prove actual reliance. (*In re Tobacco II Cases* (2009) 46 Cal.4th 298, 328.) In addition, the statute targets business acts or practices, not isolated private contractual disputes. (Bus. & Prof. Code, § 17200.)

Here, Plaintiff alleges that Defendants’ website held them out as having specialized expertise in contractor insurance and in understanding the unique needs of residential builders. However, generalized promotional statements of expertise and commitment, without more, are insufficient to constitute actionable fraudulent conduct under the UCL. Plaintiff in his complaint does not identify specific misrepresentations likely to deceive a reasonable consumer, nor does Plaintiff allege facts

showing that he relied on any particular website representation in purchasing or renewing the Liberty Mutual policy; such pleading is required to establish standing for a fraud-based UCL claim. (*Kasky, supra*, 27 Cal.4th at 951; *Tobacco II, supra*, 46 Cal.4th at 328.)

The allegations instead describe a dispute concerning procurement and renewal of Plaintiff's individual insurance policies. Absent facts showing a broader business practice affecting consumers or the public, the complaint fails to allege conduct constituting an actionable "business act or practice" within the meaning of section 17200.

b. Relief

Prevailing plaintiffs in a UCL action are limited to injunctive relief and restitution; they may not receive damages or attorney fees because restitution is the only monetary remedy expressly authorized for violation of the UCL. (*Cel-Tech Communications, Inc., supra*, 20 Cal.4th at 179; *Kraus, supra*, 23 Cal.4th at 128; Bus. & Prof. Code, § 17203.) Restitution requires that a UCL defendant return money obtained through an unfair business practice to the party from whom the property was taken. (*Kraus, supra*, 23 Cal.4th at 126-127.) Nonrestitutionary disgorgement of profits is not an available remedy under the UCL. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1148.)

Here, Plaintiff alleges that he incurred defense costs following Liberty Mutual's denial of coverage. However, the UCL authorizes only restitution and injunctive relief, not compensatory damages. (*Cel-Tech Communications, Inc., supra*, 20 Cal.4th at 179; *Kraus, supra*, 23 Cal.4th at 128; Bus. & Prof. Code, § 17203.) Defense costs and other consequential damages are not recoverable under the UCL.

To the extent that Plaintiff seeks restitution of "[p]remiums paid for inadequate insurance coverage," as noted *supra*, the complaint does not allege that Defendants, who are insurance brokers, not carriers, wrongfully obtained money belonging to Plaintiff in that it fails to allege facts showing that Defendants acquired and retained the insurance premiums. (Compl. at 20:4-5, 12-13.) Absent allegations that Defendants acquired money through an unlawful practice and retain funds properly belonging to Plaintiff, restitution is unavailable. (*Kraus, supra*, 23 Cal.4th at 126-127.)

Plaintiff additionally seeks "disgorgement of ill-gotten gains." (Compl. at 20:12-14.) However, nonrestitutionary disgorgement of profits is not an available remedy under the UCL. (*Korea Supply Co., supra*, 29 Cal.4th at 1148.) The UCL authorizes only restitution – the return of money obtained from the plaintiff – and injunctive relief. Disgorgement is only permissible to the extent it constitutes restitution of money wrongfully obtained from the plaintiff. As noted *supra*, the complaint does not allege that Defendants wrongfully obtained money belonging to Plaintiff. Accordingly, Plaintiff's request for disgorgement fails as a matter of law.

Plaintiff also seeks injunctive relief prohibiting Defendants from engaging in similar conduct. (Compl. at 20:12-14.) However, the complaint alleges only past conduct concerning Plaintiff's own insurance policies and does not allege facts demonstrating a real and immediate threat of future harm to Plaintiff sufficient to support injunctive relief.

Accordingly, the demurrer to the fourth cause of action for violation of the UCL is sustained with leave to amend.

C. Fifth Cause of Action: Declaratory Relief

Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another...may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action... He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. ... [T]he declaration shall have the force of a final judgment.

(Code Civ. Proc., § 1060.)

In the context of a demurrer the court evaluates whether the factual allegations of the complaint for declaratory relief reveal that an actual, present, justiciable controversy over a proper subject exists between the parties. (*Otay Land Co. v. Royal Indemnity Co.* (2008) 169 Cal.App.4th 556, 562; *City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79 (citation omitted).) Both standing and ripeness are appropriate criteria for determining whether there exists an actual controversy between the parties. (*Otay Land Co. v. Royal Indemnity Co.* (2008) 169 Cal.App.4th 556, 563.)

If on demurrer, facts are alleged that reveal an actual controversy between the parties, the complaint is legally sufficient for declaratory relief and sustaining such a demurrer constitutes error. (*Alameda County Land Use Assn. v. City of Hayward* (1995) 38 Cal.App.4th 1716, 1722.) Pursuant to California Code of Civil Procedure section 1061, however, the trial court has the discretion to determine whether it is “necessary” and “proper” to exercise the power to provide declaratory relief “under all the circumstances.” (Code Civ. Proc., § 1061.)

Here, Plaintiff seeks a judicial determination of the rights, duties, and obligations of the parties as to whether Defendants have an obligation to indemnify and defend Plaintiff for (1) liability arising out of work performed on new residential construction projects (including the Bradford cross-complaint) during the period of time when Plaintiff was insured by Liberty Mutual, (2) liability arising out of work performed on new residential construction projects during the time Plaintiff was insured by Gemini, and (3) liability arising out of any latent defect periods as described by SB 800 and other California latent defect law under either policy. (Compl. at 22:3-10.)

The Court will bifurcate its analysis as to the Plaintiff’s Declaratory Relief claim to the extent it is based on the two separate policies from Gemini and Liberty Mutual.

i. Liability Arising Out of the Gemini Policy

“Facts and not conclusions of law must be pleaded which show a controversy of concrete actuality as

opposed to one which is merely academic or hypothetical.” (*Wilson v. Transit Authority of Sacramento* (1962) 199 Cal.App.2d 716, 722; see also *Pacific Legal Foundation v. California Coastal Com.* (1982) 33 Cal.3d 158, 170-171.) Declaratory relief does not lie to adjudicate past wrongs or speculative future disputes. (*Wilson, supra*, 199 Cal.App.2d at 722.)

“[T]he declaratory procedure operates prospectively, and not merely for the redress of past wrongs. It serves to set controversies at rest before they lead to repudiation of obligations, invasion of rights or commission of wrongs; in short, the remedy is to be used in the interests of preventive justice, to declare rights rather than execute them.”

(*Travers v. Loudon* (1967) 254 Cal.App.2d 926, 931.)

Plaintiff alleges only that he is now *possibly* left exposed to liability in the event that Gemini denies coverage on either of the two custom homes he worked on in planned developments while insured by Gemini. (Compl. at 16:1-6.) Such contingent future events do not constitute an actual controversy sufficient to support declaratory relief.

ii. Liability Arising Out of the Liberty Mutual Policy

Declaratory relief is not appropriate to determine issues that are fully encompassed within other causes of action for damages. (*Travers, supra*, 254 Cal.App.2d at 929-931.)

To the extent that Plaintiff seeks a declaration that Defendants are responsible for defense costs arising from Liberty Mutual’s denial of coverage, that issue is fully encompassed within Plaintiff’s first cause of action for negligence arising out of the Liberty Mutual claim. (Compl. at 9-14.) Declaratory relief is improper where it serves no purpose beyond resolving issues already subsumed within other causes of action. (Code Civ. Proc., § 1061; *Travers, supra*, 254 Cal.App.2d at 929-931.) Declaratory relief operates prospectively to declare future rights, not merely to redress past wrongs. (*Wilson, supra*, 199 Cal.App.2d at 722.)

Thus, the demurrer to the fifth cause of action for declaratory relief is sustained with leave to amend.

IV. Conclusion

For the foregoing reasons, the Court overrules Defendants’ demurrer to Plaintiff’s second cause of action for negligence as relates to the Gemini Policy, and it sustains with leave to amend Defendants’ demurrer to Plaintiff’s fourth cause of action for violation of the UCL, and fifth cause of action for declaratory relief.

15. 9:00 AM CASE NUMBER: N23-0655
CASE NAME: PETITION OF: LORNE CLUTE
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: ROUND HILL COUNTRY CLUB, A CALIFORNIA CORPORATION
TENTATIVE RULING:

Respondent Round Hill Country Club (“Round Hill”) filed a Petition to Confirm Contractual Arbitration Award on October 15, 2025 (the “Petition to Confirm”). The Petition to Confirm was set for hearing on March 9, 2026. No response has been filed.

Background

This matter was initiated by petitioner Lorne Jason Clute’s (“Mr. Clute”) Petition to Appoint Neutral Arbitrator filed March 22, 2023. The arbitration was ordered by the Court’s order entered March 22, 2023 and the subsequent orders regarding the selection of the arbitrator. Ultimately, the Court appointed the Hon. Candace D. Cooper (Ret.) as the arbitrator (the “Arbitrator”).

The arbitration was conducted before the duly appointed Arbitrator. Petition to Confirm, ¶17 and Attachments thereto.

An arbitration award was made by the Arbitrator on October 6, 2025, a copy of which is attached to the Petition to Confirm. After a series of rulings on the sufficiency of the allegations, the Arbitrator entered a judgment in favor of Round Hill and against Mr. Clute. See Order re Motion for Judgment on the Amended Pleadings entered October 6, 2025 (the “Arbitration Award”), Petition to Confirm, Attachments.

Analysis

Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate that award. Code Civ. Proc. § 1285; see CJER, *California Judges Benchbook: Civil Proceedings—Before Trial* (2025) (“CJER Civ. Pro.—Before Trial”), § 3.62. Such petition is a summary proceeding in the manner of and upon the notice provided by law for the making and hearing of motions, except that not less than ten (10) days’ notice of the date set for the hearing on the petition shall be given. Code Civ. Proc. § 1290.2.

If a petition is duly served and filed, the court shall confirm the award as made unless it corrects the award and confirms it as corrected, vacates the award, or dismisses the proceedings. Code Civ. Proc. § 1286. If an award is confirmed, judgment shall be entered in conformity therewith. Code Civ. Proc. § 1287.4. The judgment has the same force and effect as a judgment in a civil action and it may be enforced like any other judgment. *Id.*

Once a party to an arbitration award has filed a petition to confirm, correct or vacate an award, a response must be filed and served within ten (10) days after service of the petition, unless extended. Code Civ. Proc. § 1290.6; see CJER Civ. Pro.—Before Trial, § 3.63.

A response requesting that an award be vacated or that an award be corrected shall be served and filed not later than 100 days after the date of service of a signed copy of the award upon: (a) The respondent if he was a party to the arbitration; or (b) The respondent’s representative if the respondent was not a party to the arbitration. Code Civ. Proc. § 1288.2.

Before confirming an award, a trial court has a duty, in order to follow the dictates of Code of Civil